

Unit 3 Planning and Decision Making

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3.1 Introduction

In the previous unit, we dealt with the definition and importance of management, evolution of management thought, the principles of management, and the management process/a systems view of functions. In this unit, we will deal with the definition and importance of planning, types of planning, steps in planning, decision making, and introduction to models in planning and decision making.

This unit covers the nuances of planning to include decision making which forms the first two steps of the management process, i.e., planning and organising (decision making is the culmination of planning and hence not included as a step). Planning is the process of accomplishing purposes. It is, in fact, a blueprint of a business, how it grows, how it implements various actions required for growth, etc. Planning sets goals and therefore is the cornerstone of management. The unit also discusses some of the well known frameworks for strategic planning. Planning should always end in a decision because that indeed is the purpose of planning. Hence, the unit discusses how decisions are made and cover the steps to do it.

Objectives:

- To understand the definition and importance of planning.

- To learn about the type of planning
- To describe the various steps in planning
- To outline the decision making process.
- To apply models in planning and decision making.

Learning Outcomes

After studying this unit, you will be able to:

- define planning and describe the importance of planning.
- categorize different types of planning
- describe the different steps in planning
- describe decision making
- explain the role of models in planning and decision making.

3.2 Case Study

Sambhavi Bakers

Sambhavi Bakers was one of the prosperous bakeries in Salem. People from neighbouring districts often came to Sambhavi to order cakes and other items for their weddings and parties. The brand name was well known in the neighbourhood. People used to suggest its owner, Rakhi to open her outlets in other districts so that they could avoid the travel. Rakhi smiled it away for several years. But as her children grew and she could get more time, she began to consider the suggestion more seriously. She had the good will, good knowledge of the product, and a loyal customer base from other districts. But she was not familiar with business in multiple towns, the problem of logistics, the need for scaling up the production without compromising her quality, the headache of finding places to locate these outlets, having managers to run it and who knows that they will not pilfer the money. She intuitively knew that she could open her outlets in three of four neighbouring districts where she is known well. She was wondering how to go about doing this.

Her daughter who was doing an MBA programme from the city college suggested her to make a detailed plan and see if it will work rather than sit and worry and talk about it all day. She was familiar with this word plan since she was a child but this is different. She had to actually do it. When she started her Salem venture, she had not made any formal plan

but started it in her house after the death of her husband primarily to earn additional money but as her popularity grew, she set up a larger shop in the town and used her old home and the area around it for production of her confectionery. She managed without a loan as she was in no hurry to grow. The production place and the shop was just a kilometre apart. If there was a problem in the production, she rushed there and sorted it out and if something was amiss, she could rush to the production, pick it up, and send the customer happy. At last, yielding to the wisdom of her daughter, which she hardly trusted, she decided to ask a local consultant to help her.

The consultant asked her several questions. What is the purpose of this expansion? Which customers do you want to serve? If it is the rich ones, in any case they come and buy from you here. Which are the towns she wants to have it and in what time frame does she plan to do it? What is the likely cost per shop and how will she find money? Who will run it and how will she account for it, deposit the money in the bank daily, pay wages, etc? Of greater worry for her were the latest bout of increase in the raw materials and fuel prices. She had been holding prices even at the cost of her margin and did not increase her prices over the last three years despite six to seven fuel price hikes and the increase in raw material cost over a 100%. Fortunately, her products were so unique that she had little competition and the workers were loyal and committed.

Why cannot she simply franchise it and stick to only production while letting someone else run the shops? Oh! Unthinkable that someone else sells her stuff and how she could be living without all those dotting and caring remarks by the customers who loved her product. The questions kept whizzing in her mind.

Finally the consultant told her that she needs to plan and decide on all these and that he would be back after a week. He said, "in the meanwhile, you should think of other planning issues so that next time we meet, we can draw out a final plan". As the consultant left, the word plan rung in her ears, yet she knew little about what she had to do though she knew that she was a successful baker without doing all these.....or had she done all these unconsciously?

3.3 Definition and Importance of Planning

Planning can be defined as a basic management function which enables one to select the purpose of the business, and how the resources should be mustered to achieve that purpose to include using the available resources optimally to do that. Planning implies goal setting for the organisation keeping in mind the constraints, opportunities, and threats as much as what the person or business which is planning wants to do. Thus, a plan is a blueprint for goal achievement, a blue print that specifies the necessary resource allocations, schedules, tasks, and other actions to achieve the purpose.

A goal is a desired future state that the organisation attempts to reach. Goals are important because an organisation exists for a purpose, and goals define and state that purpose. Goals specify future ends; plans specify the means to do that. In Unit 1, we saw the idea of vision and mission and therefore, we can state that the method we choose to achieve the vision and execute the mission is planning. Therefore, planning is about looking ahead.

Planning answers six basic questions in regard to any activity:

- What needs to be accomplished? What are the alternative routes to it?
- When is the deadline?
- Where will this be done?
- Who will be responsible for it?
- How will it get done?
- How much time, energy, and resources are required to accomplish this goal?

Planning is important for the following reasons:

- It helps the management to clarify, focus, and research their businesses or project's development and prospects.
- It provides a considered and logical framework within which a business can develop and pursue business.
- It offers a benchmark against which the actual performance can be measured and reviewed.
- It plays a vital role in helping to avoid mistakes or recognise hidden opportunities.

- In the business context, it guides the development of products, management, finances, and most importantly, markets and competition.
- It helps in forecasting the future and makes the future visible to some extent.
- It bridges between where we are and where we want to go.

Self Assessment Questions

1. Planning is a _____ management function which enables one to select the purpose of the business, and how the _____ should be mustered to achieve that purpose.
2. A _____ is a desired future state that the organization attempts to reach.
3. Planning helps management to clarify, _____ and _____ their businesses or project's development and prospects.
4. In the business context, planning guides most importantly _____ and _____.

3.4 Types of Planning

Planning can be classified from different perspectives. Figure 3.1 depicts the perspectives of planning.

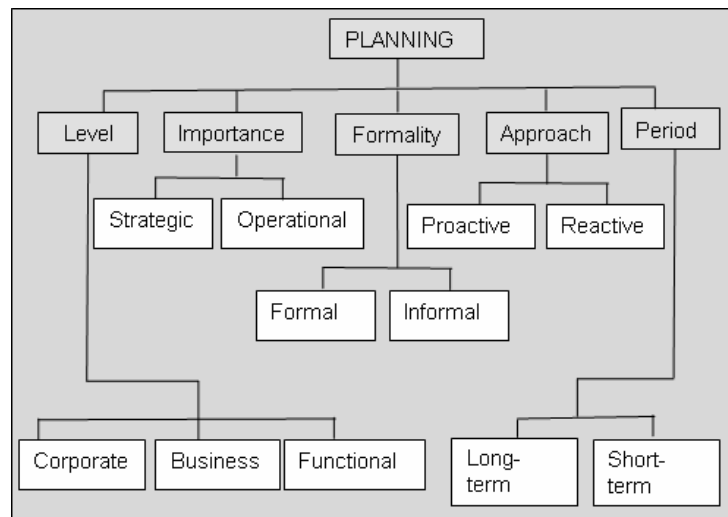


Fig. 3.1: Perspectives of Planning

Let us now discuss these different perspectives in detail.

Based on level (corporate, business and functional plans)

They cover long-term objectives of various businesses and the ways to do these. They are integrated and future oriented. Sambhavi may consider that they could enter into long-life-packaged bakery products, production of bakery raw materials, a chain food retail, etc. These are corporate plans. Of course, Sambhavi is small. Take an organisation like Tata. They have over 150 businesses under their corporate headquarters and the plan made for various businesses by the corporate is called corporate plan. Under the corporate plan, there would be plans how to muster the money, HR, etc. These are functional plans. They cover the sub-functions and are derived from the corporate plan and cover a segment of activity. Business Plan could also be plans to enter business and how this is done and is called business plan. Even a small organisation like Sambhavi Bakers will have a plan for handling money, marketing, recruiting people, etc. These are functional plans.

Based on importance (strategic and operational plan)

A plan that is important and future oriented and forms the hub of fulfilling the vision is, of course, very important and such plans are called strategic plans. As against this, short-term plans made for the day-to-day functioning such as production, purchase operation, etc are called operational plans. These plans cover the production, distribution, etc that sustain the markets.

Based on formal process (formal and informal)

When planning is done as per the steps and documented in a structured way, it is called formal plan and when this is missing it is called informal plan.

Based on approach (proactive and reactive)

The plans that we make anticipating an incident is called proactive plans and something that we make as a consequence of an event or action of the competition is called reactive plans. Reactive plans bring us back to the balance after we have lost it while the proactive plans give us initiative. In other words, we can say that reactive plans are about survival while proactive is about growth.

Long, medium, and short-term plans

Every organisation is required to fulfil some need of the society. If you were the chairman of PWD, your purpose would be road building and if you were

the owner of Sambhavi bakers, your purpose would be to provide good bakery items. In the latter case, it could be to the people from all over the state, a few districts, etc and the plan would further cover the short term, medium term, and long term from a time perspective. Usually, we say that short term implies one or two years, medium term up to 5 years and long term from 8 to 20 years. The time frame cannot be strictly defined without keeping in mind the peculiarities of the segment and the product or service that we are providing. For example, for road construction, the long term could be as much as 15 or 20 years while this may be 8 or 10 years for Sambhavi bakers because it takes a long time to build roads as against building bakery outlets.

Self Assessment Questions

5. Based on importance, planning can be _____ and _____.
6. Purpose of proactive planning is to gain _____.
7. There are long, medium, and short-term plans. There is a standard rule on the length of years for these. (True/False)
8. Informal plans are made by informal business sectors (True/False)

3.5 Steps in Planning

Figure 3.2 depicts the steps in planning.

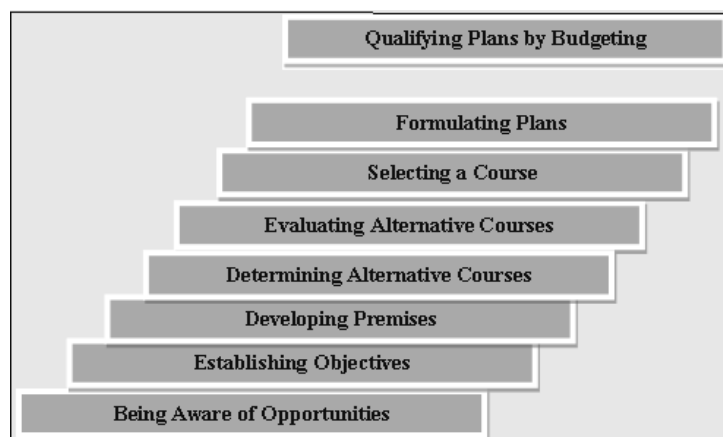


Fig. 3.2: Steps in Planning

Let us now discuss these steps in detail.

- ***Being aware of opportunities*** – This means being aware of the customer needs, market, competition, our strengths, and weaknesses. For example, Sambhavi being aware of the customer need to have the outlets in other districts. This is usually done through market research, competitor analysis, and analysis of own strengths and weaknesses through a formal process called SWOT analysis (Strength, Weaknesses, Opportunity, and Threat).
- ***Establishing objectives*** – This implies establishing what we want to be and what we want to accomplish and when and in relation to which market segment. At the highest level, this is done through vision and mission building. This process takes place at business level, project level, etc also. For example, establishing the vision and mission of Raju's carpenter shop which we did in Unit 1 or establishing the objectives of each store that Sambhavi intends to open (each of which is a project).
- ***Developing premises*** – Deciding on the environment (both external and internal) in which our plans are going to operate. Business has external environment created by political factors to include legislation, legal framework, etc. For example, foreign companies cannot invest directly in multi-brand retail in India. There can be economic reasons such as general slowdown in which case the shoppers to the bakery may decrease, there can be factors such as nuclear family and eating out habit which helps Sambhavi to have a greater market, etc. The external analysis is done through a process called PEST analysis (Political, Economic, Social, and Technological). Some add culture as an additional separate factor while others include it in Social. PEST is a framework and helps you to think systematically through the factors that could affect. In relation to the business mission, each of the factors may become a threat or opportunity (or of course may be neither).
- ***Determining alternative courses*** – Identifying the most promising alternatives to accomplish what we want to. This is done by combining the information about the opportunities, threats, and own strength and weaknesses. This is done through another framework called TOWS matrix which we will handle in some detail in a subsequent section in this unit.

- **Evaluating alternative courses** – Comparing the alternatives to find out which of them will meet our goals and at optimal cost and profit keeping sustainability into mind.
- **Selecting a course** – Selecting the course that we want to follow.
- **Formulating plans** – This implies making plans that support the course of action by buying equipment, space, planning the type of HR, etc.
- **Qualifying plans by budgeting** – Identifying the cost involved, how the financial resources will be mobilised, what is capital expenditure, what is operational expenditure, the working capital, etc.

Self Assessment Questions

9. The term being aware while describing the steps of planning means knowing the customer needs, market, _____, our strengths and weaknesses.
10. Deciding on the environment (both external and internal) in which our plans are going to operate is called _____.

3.6 Decision Making

Decision making can be defined as the way of choosing from the alternatives. Since no action can be taken without a decision, planning will not go any further without a decision and hence, decision making is an integral part of planning even if it is done quickly or with little thought. The process leading to decision can be thought of as

- 1) Premising (or make a premise on what is right or wrong and acting on it),
- 2) identifying alternatives,
- 3) evaluating alternatives in relation to the goal sought, and
- 4) choosing an alternative, i.e., decision making.

Rationality in decision making

- **Rational decision making** – If we take a decision by considering all the factors, data, and their relative impact, preferably giving it a weight, the decision would be called a rational decision. To take a rational decision, Rakhi would need the customer base, purchasing power, total customers available, the areas where they live, cost of transportation, labour cost, labour unions in other places, the political influence, competitors, and many more such data. If she can get the information on

all these, give it a relative weight based on some scientific method, and then take a decision, it becomes a rational decision.

- **Bounded rationality** – A manager cannot get all the information before he/she takes a decision and often his/her decisions are coloured and biased. Hence, he/she often takes decisions which are not entirely rational. This is called taking decisions under ‘bounded’ (limited) rationality. For example, Rakhi would soon take a decision fully knowing that there are several risks and several things that she would have liked to consider but is unable to do practically.

Development of alternatives

Let us say that Rakhi went on to develop on her own alternatives or different ways of doing the job. To do this, first she should decide on the limiting factors. Limiting factors are those factors that are major obstacles to an alternative. For example, if she cannot raise more than Rs. 50 Lakh in loan, the number of outlets she can open will be one or two only. Then, she has to wait for her financial situation to improve. By recognising the limiting factors we are able to narrow the alternatives.

Evaluating alternatives

Our next effort is to evaluate the alternatives.

- To evaluate the alternatives, we may use 1) quantitative method or 2) qualitative method. Quantitative method means using figures and data and in qualitative method, we use opinions and evaluative statements of self and others.
- Another method is marginal analysis. Here we find out the increase in output for every unit of increase in input. It can be raw materials, labour hours, etc.
- Cost effective analysis is the third method used popularly. This means arriving at the least cost way of achieving a goal or getting the best value for the given expenditure. For example, franchising may be a cost effective way of expanding Sambhavi to other districts.

Selecting alternatives

To select an alternative, managers use three methods. They are:

- **Experience** – Managers would have gained experience in doing a thing or found out from his/her or others’ experience that a particular method works. For example, Rakhi would know that unless the bakery items are

absolutely fresh, it will not taste the same and she might lose the good will. This is through her experience.

- **Experimentation** – Some take a decision by experimenting. She might start an outlet in one district, find that she is not able to maintain freshness. Therefore, she decides on a delivery of items each morning and evening and still finds that the freshness is a problem. She, then decide to set up another production unit close to the new outlet. This is the experimentation method.
- **Research and analysis** – When we handle expense items and proposals, we cannot depend on our experience or experimentation. For example, we cannot rely on these if we were to make a car like Nano and sell it. In this case, the company will do a market research about the car, the price acceptable to the public, the distribution locations required, etc and then take a decision. This is selection of alternatives by research and analysis.

Programmed and Non-programmed decision – If a decision is highly structured, it can be programmed. For example, deciding on a housing loan can be based on calculating the EMI of housing from two banks and then taking a decision. But where to build the house may not be so structured as the likes and dislikes of your family may be factored in and it is called non-programmed decision. Top management usually takes non-programmed decisions.

Decision making under certainty, uncertainty, and risk

- In the case under consideration, Rakhi, for example, does not have answers to so many questions, yet she would take a decision. This is called deciding under uncertainty. While taking a decision under uncertainty, we usually use experience, intuition, and often experimentation rather than research and analysis.
- Some of the decisions can be taken under certainty. For example, you can take a decision after knowing the rent of the place and the contract details.
- **Decision under risk** – Risk is not the same as uncertainty. Risk can be estimated much like an insurance company estimates the risk of a young person, old person, one with a heart ailment, etc. Since risk can be estimated, we can hedge the risk.

Creative decision making

In a complex world, we have to take creative decisions more so when there is change and uncertainties. Let us see how we do this.

- **Incubation** – To make creative decisions, first we allow a problem to simmer in our mind in the unconscious. You must have observed how an important question remains in your mind without an answer for some time and then you get an answer to it all of a sudden. This happens because you incubate the problem enabling your brain to connect the various aspects and then find a possible solution.
- **Intuition** – After you have incubated it for some time, you get an intuition, i.e., what is in the unconscious is connected to the conscious. There is no clear explanation to this process but in decision making, we accept that this happens in many cases.
- **Insight** – Insight is something concrete about the underlying nature of the problem and its solution comes to us often when we are not thinking of the problem. Your brain connects the need of a solution with the intuition and gives you possible answers. They are untested and may or may not work. Insight is the result of hard work where you have thought of many variables, permutations, and combinations.
- **Logical formulation or verification** – Here we verify the insight and see its viability and then take a decision.

These are some of the ways in which we take decisions and since managers are paid first and foremost to take decisions, it is important that we build on this basic input and fine tune our creative decision making skills.

Self Assessment Questions

11. The process leading to decision can be thought of as _____, _____, research and analysis.
12. Junior managers have to take non-programmed decisions very often (True/False)
13. Incubation of idea is an excellent start point for _____.

3.7 Introduction to Models in Planning and Decision Making

Consultants and researchers have developed a number of frameworks or matrices to enable planning and decision making especially for strategic planning and decision making. Let us see some of these.

a) TOWS matrix - A modern tool for situation analysis

SWOT analysis, i.e., analysis of the company's Strength, Weaknesses, Opportunities, and Threats, was a popular model. This, however, fails to look at it in a combined way. For example, how does the opportunity of not having a bakery similar to Sambhavi in other districts (an opportunity) combine with Sambhavi's strength? To service the customers in these districts, you need to have good logistics which Sambhavi does not have (weakness). Combining these, we can say that Sambhavi can give up the opportunity because of the weakness or make up the deficiency and make use of the opportunity. So it can develop the logistic capability or collaborate with another company which has good logistic capability in food and serve the customers from other districts. This is what TOWS matrix does. T stands for Threat, O for opportunity, W for weakness and S for Strength. It starts with T because usually it is the threat that makes us sit back and plan (this is not to say that being reactive is ideal).

Internal Factors External Factors	Internal Strength (S) Quality products, unique, prompt in service, customer loyalty, customer base from other districts, etc	Internal Weakness (W) Lacks professional management, lacks good logistics, lacks formal manpower policy, etc
Opportunity (O) Lack of good bakeries in the neighbouring districts, good will, market need for good bakeries in neighbouring districts	SO (strength/Opportunity) Lack of good bakeries in the neighbouring districts + customer base from neighbouring districts	WO Market need for good bakeries in neighbouring districts + lack of good logistic capability
Threat (T) Increasing cost of raw materials, increasing cost of fuel, other bakery chains	ST Increasing cost of raw materials + unique products	WT Increasing cost of raw materials + lacks professional management

The list above is not an exhaustive list of TOWS of Sambhavi Bakers but is only an illustration and only one example has been given under SO, WO, ST and WT.

Fig. 3.3: TOWS Matrix of Sambhavi Bakers

If we look at the matrix depicted in Fig. 3.3 objectively, we can conclude the following:

- **SO** – When strength and opportunity match, the possibility of success is the highest. Thus lack of good bakeries in the neighbouring districts which is an opportunity when combined with the customer base from the neighbouring districts becomes a winning combination.
- **WO** – In this combination, one has to do something to overcome the weakness. Market need for good bakeries in the neighbouring districts is high but Sambhavi has to overcome its deficiencies in logistic capability if it has to leverage the opportunity.
- **ST** – Increasing cost of raw materials is a worry but since the products are unique and not cost sensitive, the business can take on the challenge though it needs to look at ways of reducing the threat by looking at alternative raw materials, innovation in ingredients, better negotiation with the suppliers which is possible if the quantity of purchase increases, etc.
- **WT** – Increasing cost of raw materials demands scientific purchase, inventory levels, and negotiation but Sambhavi does not have a professional management to do it which increases the negative impact of the threat.

b) Portfolio matrix or BCG matrix

This matrix to aid planning and decision was developed by Boston Consulting Group and hence the name BCG. A company enjoys market share in relation to other companies in the sector. (For example, Sambhavi has a good market share in relation to other bakeries.) The industry itself may be growing fast or slow. For example, with the nuclear family and eating out habit increasing, the growth of bakeries in India has been high. We can now create a matrix as (Fig. 3.4) that explains this relation.

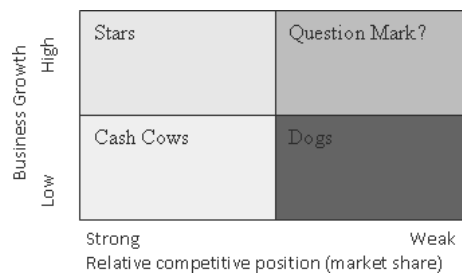


Fig. 3.4: BCG Matrix

The above matrix is used for deciding on the portfolio of products. Stars means that the business growth is high and the company's relative market share is strong. Stars can expand without much worry like Sambhavi. Question mark on the other hand is strong business growth with weak market share which means to grow or not to grow has some doubt or is a question mark. You can take an expansion path or focus on stabilising your existing business. You are a cash cow when the bakery business growth is low but your company market share is strong. This means you are making a lot of money and you can keep doing it. When both are weak, then you are like a dog (dog is a term that westerners use to indicate a pathetic condition). You cannot expand and probably, it makes sense to sell off the business. This matrix gives you a general frame work to plan and take a decision on expansion, contraction, stabilisation, etc.

c) Porter's five forces model

Porter designed a five forces model to evaluate, plan, and decide on a strategy. The same is shown in the Fig. 3.5 diagrammatically.

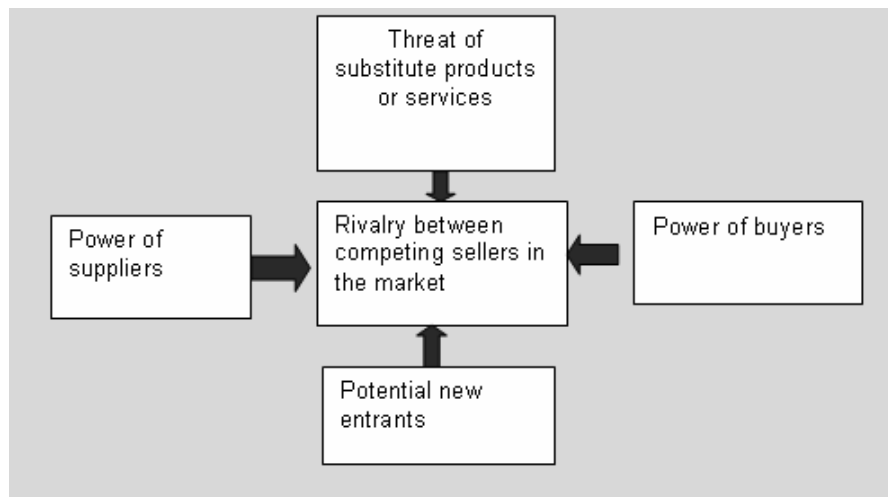


Fig. 3.5: Porter's Five Faces Model

The five forces are

- 1) competition among companies which indicate the degree of competition, for example, are there a lot of bakeries of this nature in Salem and neighbouring districts;

- 2) threat of new companies entering the market, which is high in this case since you don't need any special capability except the capability to make good bakery products,
- 3) the possibilities of using substitute products, for example, can people use other eatable products than bakery products if they choose to,
- 4) bargaining power of the suppliers, for example, if there are no good raw material suppliers for a bakery like Sambhavi, the purchase has to be made anyway but if there are many good raw material suppliers, then Sambhavi can bargain better, and
- 5) the bargaining power of the customers which is self explanatory.

Based on this analysis, companies plan one of the following:

- **Cost leadership** – In our case, Sambhavi Bakers is not following a cost strategy. But there could be other bakers who could be doing that and they could keep the product portfolio low, become bulk producers, and therefore, gain economies of scale, etc.
- **Differentiation** – Sambhavi is a differentiator as it produces unique products which the competitors are not able to imitate. Since customers from the neighbouring districts are willing to drive all the way to buy the products, we can conclude that customers will not be averse to paying more for the products of Sambhavi. As a result, it is easy for new entrants to enter the market and directly compete with Sambhavi. It is not easy for the customers to substitute it either. The suppliers have high bargaining power but to offset the cost of raw materials, Sambhavi can, if required, increase the price.
- **Focus strategy** – To thrive in the market, Sambhavi could focus on a niche area. For example, they could focus on birthday cakes only and make nothing else and create a niche in the market as a birthday cake provider.

Porter's five forces model is thus used to take a decision on the desirable strategy that one should plan and decide on.

d) Blue Ocean

In the TOWS matrix we discussed how companies can use their strength and reduce their weaknesses. In Blue Ocean strategy, its authors suggest that it is better that one uses the strength and enter the untouched

opportunities rather than try to make up strengths and enter a competitive environment or try to make up its weaknesses and enter into a competition. The proposition is that the companies should look for virgin areas of opportunities that match its strength and enter uncontested markets. Uncontested areas are called Blue Ocean as opposed to Red Ocean which is the contested areas. Porter's 5 forces suggests that the companies have to make a strategic choice to beat the competition by choosing to be cost leader and differentiator or follower of focus strategy while Blue Ocean suggests companies should enter uncontested areas and that they need not make a strategic choice of entering a contested areas.

Thus, we have seen that each of the model helps in planning by looking into the opportunities and the available alternatives.

Activity

Consider the case of Raju's furniture (Unit 1) and create a TOWS matrix.

Hint: Refer Section 3.7

Self Assessment Questions

14. If you are a cash cow, you should expand at a fast pace. (True/False)
15. Blue Ocean strategy means entering a competitive market with huge resources. (True/False)

3.8 Summary

Let us recapitulate the important concepts discussed in this unit:

- Planning is a very basic step in business. The process attempts to answer several questions such as the business one wants to enter, the strategy that one should follow taking into consideration the external factors, and the competitive position in the market. Thus, planning is an essential step that cannot be skipped.
- Planning ensures that the scarce resources deployed are not wasted and that it is utilised to the full.
- In order to do this efficiently, there are a lot of models such as TOWS matrix, BCG matrix, Porter's five forces model, Blue Ocean, etc.

- While these give us the framework to plan, we have to take a decision. Typically, the process of decision is about identifying the alternatives and then making a choice from these alternatives.
- Planning without decision making is ineffective and the managers are paid to plan and decide and hence, the importance of learning the nuances of doing it well.

3.9 Glossary

- **Blue Ocean:** Those segments/products and services not served by a business.
- **Bounded Rationality:** Taking a decision which is not entirely rational because of lack of information on issues.
- **Planning:** Process which enables one to select the purpose of the business, and how the resources should be mustered to achieve that purpose to include using the available resources optimally to do that.
- **Red Ocean:** Those segments/product and services served by several business leading to traditional competitive environment

3.10 Terminal Questions

1. Describe the importance of planning?
2. Diagrammatically illustrate the types of planning.
3. Describe the importance of bounded rationality in decision making giving a specific example.
4. Describe the steps in creative decision making.
5. Explain Porter's model and how it helps in decision making.

3.11 Answers

Self Assessment Questions

1. Basic, resources
2. Goal
3. focus, and research
4. Markets and competition
5. Strategic, operational
6. Growth

7. False
8. False
9. Competition
10. Developing premises
11. Experience, experimentation
12. False
13. Creative decision making
14. False
15. False

Terminal Questions

- 1 Planning provides a logical framework within which a business can develop. Refer Section 3.3 for more details.
- 2 Planning can be classified based on level, importance, formality, approach, time period. Refer Section 3.4 for more details.
- 3 Bounded rationality is important for managers to take a decision when all information is not available. Refer Section 3.6 for more details.
- 4 The steps involved in creative decision making are incubation, invitation, insight, verification. Refer Section 3.6 for more details.
- 5 Porter's Model help in evaluating, planning and deciding a strategy. Refer Section 3.7 for more details.

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